WEEK 2 · UNIT I · CLO 1 AND CLO 4 · STUDENT PACK

Drivers of Transformation and Maturity Models

Why transformation is happening now, how maturity is measured, and how to turn a diagnosis into a decision.

Part 1 Week 2 lectures L1 to L3: the four driver families, stage models, the Westerman grid and the Round 1 brief

Part 2 Theory in depth: the frameworks behind Round 1 (Kotter, Kavanagh, Bersin, Westerman, the digital divide, DPDP and SS2020)

Part 3 Method: applying a diagnosis, from symptom to binding constraint

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WEEK

02

Unit I · Understanding & Maturity

CLO 1 · CLO 4

Three lecture hours

Drivers of Transformation & Maturity Models

DSEH001 · Digital Transformation in Human Resource Systems

M.Com. Semester I · Project Disha — GreenLeaf Retail

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THE IDEA THAT RUNS THROUGH ALL THREE HOURS

Technology adoption is not maturity.

Maturity is the organizational capability to make technology deliver —

and it is never evenly distributed inside a firm.

We will return to this three times today: once per hour.

TODAY

Three hours, three questions

L1

Why now?

Drivers of digital transformation, Industry 4.0, and the evolving role of HR

Quiz 1 · 12 min

L2

Where do we stand?

Stage models, the Westerman capability grid, and strategic alignment

Pod worksheet

L3

Where do we start?

R1 The Diagnosis — the brief, the anchor stress test, the round opens

R1 opens on Disha

HOUR ONE

Drivers of Digital Transformation

0:00 Quiz 1 · 0:12 The four driver families · 0:30 HR's evolving role · 0:50 GreenLeaf

OPENING QUESTION

GreenLeaf has run on paper for eleven years and made money doing it.

Nobody can name a single day on which paper stopped working.

So — why now?

What changed outside GreenLeaf that makes the paper suddenly intolerable?

THE DISTINCTION THAT GOVERNS THE HOUR

A technology is not a driver

DRIVER

A force that changes the cost of not acting.

TECHNOLOGY

The means by which acting becomes possible.

Cloud computing did not force GreenLeaf's hand.

What forced it was that a competitor's time-to-hire fell to twelve days while GreenLeaf's stayed at forty-seven.

0:12 – 0:30

Four families of driver

01 Technological

Falling cost, rising reach

SaaS over capex · APIs · mobile penetration · India Stack

02 Economic

People costs became visible

Attrition as a cost line · time-to-hire as lost revenue

03 Workforce

Composition and expectation

Gig growth · consumer-grade UX · skills half-life · dispersion

04 Competitive & regulatory

Obligations that do not wait

Employer brand · DPDP 2023 · Social Security Code · peer mimicry

DRIVER 01

Technological — falling cost, rising reach

Capex to opex. SaaS removes the capital hurdle that kept mid-size Indian firms out.

The API economy. Point solutions become composable rather than islands.

Mobile and data costs. For the first time the frontline is technically reachable.

Public digital infrastructure. India Stack, Aadhaar verification, DigiLocker, e-sign — identity and document checks at near-zero marginal cost. No Western framework anticipates this.

GREENLEAF TRACE

31%

hold a company email address

92%

carry a personal smartphone

The constraint that made the frontline unreachable has quietly expired. The systems have not noticed.

DRIVER 02

Economic — people costs became contestable

38%

store attrition

A replacement cost the CFO can compute

47

days to hire, frontline

Unfilled floors during the revenue that pays for the year

8,000

employees on paper

An administration cost curve that scales with headcount

The moment an HR problem acquires a rupee figure, it stops being an HR problem and becomes a Board problem.

DRIVER 03

Workforce — composition, expectation, skills, distribution

Composition	Contingent, platform and gig labor grows. GreenLeaf's last-mile network exemplifies it; its Employee_Master does not recognize it.
Expectation	Employees who book cabs, order food and file taxes on a phone will not accept a two-day paper leave approval. The benchmark is now consumer apps, not other employers.
Skills half-life	Reskilling is continuous, not episodic — Scully-Russ's core claim. Learning infrastructure becomes strategic rather than administrative.
Distribution	Hybrid and dispersed work removes the physical co-presence that made informal HR possible.

ANCHOR

GL-1002
Arjun Joshi

Appears in both Gig_Workforce and Employee_Master. One person, two records, never to be joined statistically.

Not a data error — a workforce whose shape the architecture was never built to hold.

DRIVER 04

Competitive, regulatory and institutional

Competitive

Talent markets are transparent. Employer brand, review platforms and referral velocity turn a bad candidate experience into a market signal.

Regulatory

DPDP Act 2023 makes employee data a compliance surface with consent obligations. Code on Social Security 2020 and state gig legislation attach duties to platform labor.

Institutional

Peers adopt. Vendors sell. Boards read the same three consultancies. The least respectable driver — and often the most powerful.

Regulation is the one driver that does not care whether you are ready.

0:27 – 0:30

What each family actually does

Technological	*makes it possible*
Economic	*makes it worth it*
Workforce	*makes it necessary*
Competitive & regulatory	*makes it urgent*

Which is GreenLeaf's Board responding to?

The fourth.

Institutional, not economic.

The transformation begins from a weak driver. Your pod must build the economic case yourselves.

Schwab's three claims, translated into HR

Velocity *Exponential, not linear*	Multi-year HR system programs are obsolete on delivery. Sequence in short cycles with measurable checkpoints — exactly what R2 and R3 will force.
Breadth & depth *Changes what we do and who we are*	Work identity, not just work process, is in play. Sunil Mehta is not resisting a system; he is defending a self-description built over eighteen years.
Systems impact *Whole systems transform*	You cannot digitize recruitment alone. Change the funnel and you change workforce composition, learning load, and eventually the employment relationship.

A caution: Schwab is a framing document produced by an institution with an interest in the framing. Manuti & de Palma are the corrective — technology arrives inside power relations.

0:38 – 0:45

Where the HR function is going

These positions accumulate — they do not replace one another.

1

Administrative custodian

Records, compliance, payroll

Value: accuracy

2

Service provider

SLAs, shared services, query resolution

Value: efficiency

3

Business partner

Workforce planning aligned to the business

Value: relevance

4

Digital change agent

Owns the operating model, the data, and the arbitration

Value: judgment

GreenLeaf is here

You are not learning these systems to operate them. You are learning them so that when a vendor, a CFO and an algorithm are in the room, HR is not the least informed party present.

0:45 – 0:50

Four capabilities — and where the course builds each

Data literacy

Reading evidence, resisting bad inference

Week 3 · Quiz 2

Technology judgment

Evaluating architecture without being an architect

Weeks 4–6 · R2

Algorithmic scrutiny

Auditing what the model actually does

Weeks 7–9 · R4

Change & worker voice

Carrying people, not just systems

Weeks 5–6, 10–11 · R3, R6

All four are capabilities. None is a tool. That distinction is exactly what maturity models were built to measure — which is the next hour.

0:50 – 1:00 · IN PAIRS

Rank the four driver families by their force on GreenLeaf specifically.

- Strongest to weakest. All four ranked.
- You must cite one fact from the GreenLeaf pack for your top-ranked driver.
- Two minutes of argument. Then write the ranking down.
- I will take four pairs — and I will not tell you who is right.

Where pairs disagree, name the fact that would settle it.

Often no such fact exists in the pack. That is the finding.

HOUR TWO

Maturity Models & Strategic Alignment

0:00 Stage models vs. capability grids · 0:25 Tools follow strategy · 0:45 Positioning exercise

FRAME FIRST

What a maturity model is actually for

An instrument for making an argument about capability legible to people who do not share your expertise.

Its purpose is communication and prioritization — not measurement in any strict sense.

If a student says…

“The model says we are at Level 2.”

The correct reply

“The model does not say anything. You said it, using the model.”

0:03 – 0:12 · INSTRUMENT ONE

The stage model — a ladder of capability

1	**Ad hoc / reactive**	Undocumented, person-dependent	*Recruitment via a shared inbox*
2	**Defined / standardized**	Documented, consistent, some systems	*Three spreadsheets used consistently*
3	**Integrated / managed**	Single source of truth; systems talk	*Not present at GreenLeaf*
4	**Optimized / predictive**	Analytics informs decisions	*Not present*
5	**Transformational**	People systems shape business strategy	*Not present*

Strength: immediately communicable to a Board, implies a sequence, and makes "we cannot do predictive analytics yet" an argument rather than an excuse.

PRESS THESE — THEY ARE EXAMINABLE

Four weaknesses of the ladder

1 The ladder implies inevitability

It suggests every organization should climb. Some GreenLeaf domains are correctly left at Level 2 forever.

2 It averages

One stage for 8,000 people hides that corporate may be at 2 while the gig network is not on the ladder at all.

3 It conflates tooling with capability

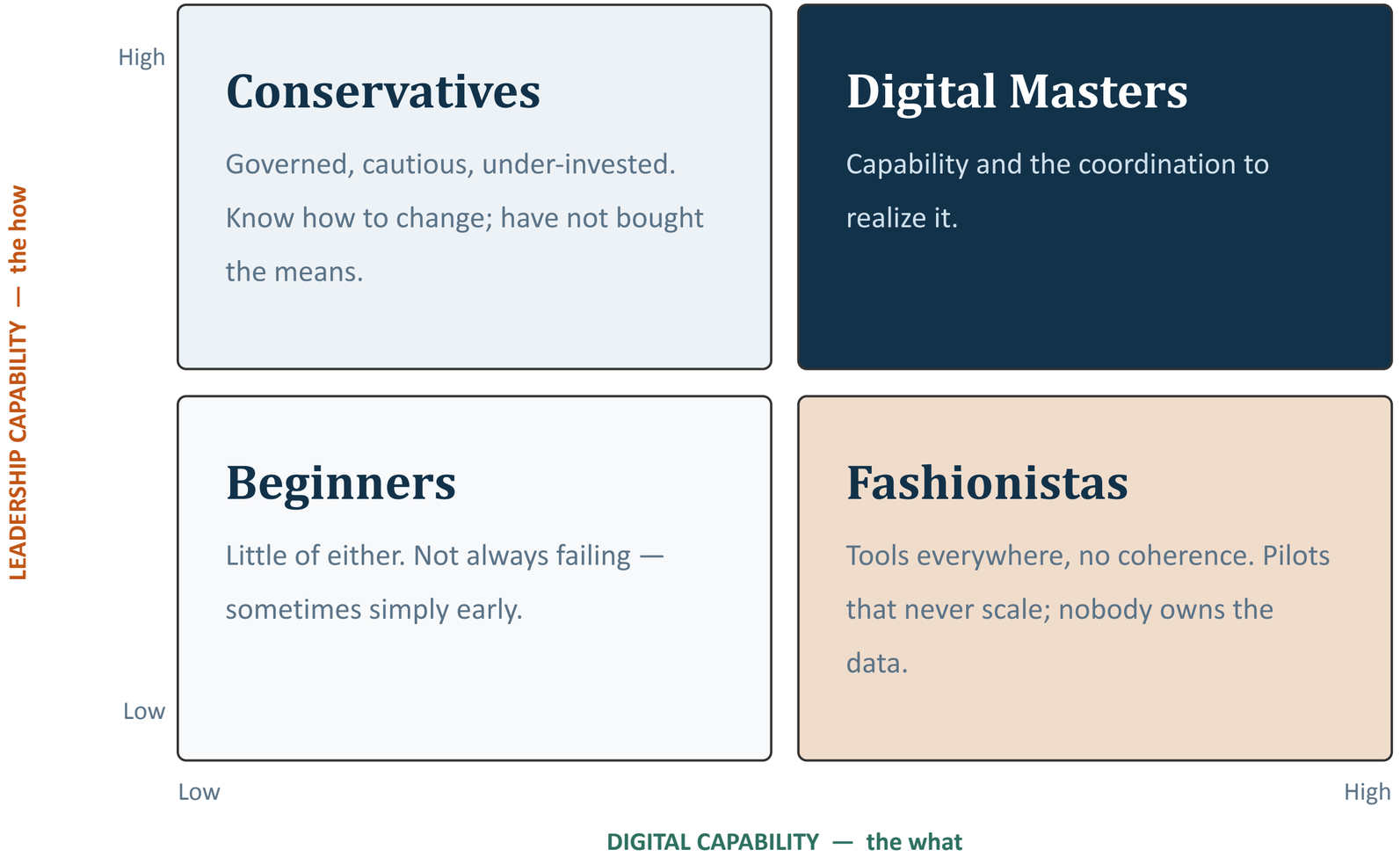
Buying an integrated suite does not confer Level 3. Level 3 is the ability to trust one number — an organizational achievement, not a licence.

4 It is silent on leadership

A firm can hold Level 3 tools with Level 1 governance. This is precisely the gap the next instrument was built to expose.

Held for the whole hour: a stage model tells you where you are in a sequence. It does not tell you why you are stuck.

The Westerman capability grid



The axes are orthogonal.

That is the whole point. A firm can be strong on one and empty on the other — and the two failures need opposite remedies.

Where does GreenLeaf's ATS pilot sit?

THE FINDING THAT PUTS THIS GRID IN THE COURSE

The leadership axis is the scarcer and the higher-returning one.

Firms buy their way rightward because capability is procurable. The upward move requires governance, sequencing and political capital — none of which can be purchased.

Fashionistas often out-spend Digital Masters — and under-perform them.

Weaknesses to name: two axes compress a great deal; "leadership capability" is hard to evidence; the data is large-firm and mostly Western. And it positions — it does not sequence.

0:22 – 0:25 · CARRY THIS INTO THE EXAM

Which instrument answers which question

“Where are we, and what comes next in this domain?”	**Stage model**
“Where should the marginal rupee go — capability or coordination?”	**Capability grid**
“Why has our spending not produced results?”	**Grid — it diagnoses Fashionista**
“What is the sequence for the next eighteen months?”	**Stage model**
“How do we present this to a Board in one slide?”	**Grid**
“How mature is GreenLeaf?”	**Wrong question — see the exercise**

The module list masquerading as a strategy

A sequenced set of purchases with no statement of what business condition will be different afterwards. Seductive because it is concrete, budgetable, and demonstrates activity.

SYMPTOM	WHAT IT INDICATES
Organized by module, not outcome	Vendor-led, not strategy-led
No baseline metric for any target	Success will be unfalsifiable
No owner outside HR	The business has not bought in; adoption fails
Nothing is being stopped to fund it	Additive, therefore under-resourced in practice
The case rests on peer adoption	Mimetic, not strategic
Success is defined as go-live	Implementation confused with impact

0:31 – 0:38

Four alignment tests — as a hostile CFO would ask them

1 The outcome test

"What business number moves, by how much, by when?"

Not "improve engagement" — "raise frontline 90-day retention from X to Y by Q3."

2 The ownership test

"Who outside HR is accountable for that number?"

If the answer is HR, it is an HR project — and HR projects needing store-manager behavior change fail.

3 The sacrifice test

"What are we stopping to fund this?"

One ₹6 crore grant across six rounds, 100 non-renewing Analyst Days. In Disha this is not hypothetical — it is the mechanic.

4 The reach test

"Which workforce segment does this actually touch?"

Serving the 31% with company email is not a transformation of an 8,000-person workforce.

0:42 – 0:45 · GREENLEAF'S ALIGNMENT GAP

Not “GreenLeaf lacks systems.” The sharper version:

The business strategy is omnichannel growth with a fast-expanding last-mile network in Tier-2 and Tier-3 markets.

The people architecture recognizes a corporate, English-fluent, desk-based, email-holding minority.

The workforce the strategy depends on is the workforce the HR systems cannot see.

0:45 – 1:00 · IN PODS

Position GreenLeaf on the grid — with evidence

The rules

- Every placement is justified by a fact from the pack — not an impression
- Four facts in the evidence inventory. Name the axis and the direction each evidences
- Place GreenLeaf twice: corporate, then frontline and gig
- Name the binding constraint — digital capability or leadership capability
- Name one fact you needed and could not find

ANCHOR CHECK

Would the roadmap implied by your corporate placement reach Lakshmi Naidu, GL-1001?

Watch for

- Corporate clusters in Beginner — or, defensibly, Conservative
- The gig network may be off the grid entirely: unmeasured, not low
- The unexamined ATS pilot is the sharpest Fashionista signal in the pack

CLOSING SYNTHESIS

Every pod produced two placements.

Every pod's two placements differed.

That difference is not a modeling error. It is the finding.

GreenLeaf does not have a maturity level.

GreenLeaf has a maturity gap, running straight down the middle of its own workforce.

Any plan that reports one number will be built for the half that already has email.

HOUR THREE

R1 The Diagnosis — Round Briefing

0:00 The decision set · 0:25 The anchor stress test · 0:45 R1 opens

0:00 – 0:06 · READ THIS TWICE

Three currencies. One grant. Nothing refills.

₹6 crore

Budget

Capital, licenses and change management for all six rounds. Overspending is blocked; starving adoption is penalized.

100

Change Capital

Opens at 100, ceiling 150. Disruptive options spend it; honest communication earns it back. Below 30, everything gets harder.

100

Analyst Days

A single grant for the entire mandate. It never refills. No pod can buy analytical depth everywhere.

Scored on five equal axes to 20

Agility & Readiness · Financial Discipline · Employee Centricity · Analytics Capability · Equity & Compliance

Submission

Only the round's Pod Lead may submit. The analysis and Evidence Rationale autosave as anyone types — shared work, single submission. Rounds lock irreversibly.

0:06 – 0:18

R1 asks you for four decisions

01	**Which maturity model do you adopt?**	The model determines what you can see. Justify the choice against the diagnostic task — not as a preference.
02	**Which drivers dominate?**	Rank them and evidence the ranking. The trap: ranking technological first because technology is the visible subject.
03	**What is the strategic-alignment gap?**	One paragraph. Test it against outcome, ownership, sacrifice and reach. A gap statement naming no workforce segment is too abstract to use.
04	**Which single domain do you transform first?**	The hardest decision. Everything is broken and the budget is finite.

There is no single correct domain. The scorecard rewards a defended choice with honest trade-offs — and penalizes an undefended one, whichever domain it names.

Three defensible ways to pick the first domain

Foundational dependency

Does everything else require this first?

Records and data governance sit here.

Unglamorous — and frequently correct.

Pain and reach

Where is the largest measurable cost against the largest segment?

Frontline attrition and time-to-hire sit here.

Credibility and momentum

What earns Change Capital and buys the mandate for harder later moves?

A visible frontline win sits here.

Candidate domains visible in the pack: core records and the system of record · frontline hiring funnel · onboarding · learning · engagement measurement · the analytics function · data consent and governance ahead of DPDP

Name your criterion in the rationale. A choice without a stated criterion is a preference.

What your Evidence Rationale must contain

Claim	Is it specific enough to be wrong?
Evidence	Does it point to the pack or the workbook — with a location, not a memory?
Framework	Is a named model doing analytical work, or is it decoration?
Trade-off	What did this cost — budget, Change Capital, Analyst Days, or foregone domains?
Segment reach	Which of the four anchors does this serve, and which does it not?

A rationale with no trade-off in it is not a rationale.

It is a wish.

The Financial Discipline axis exists to find wishes.

0:28 – 0:40 · IN YOUR POD, EIGHT MINUTES

The Corporate-First Plan

A consultant proposes: Year 1, implement a cloud HRIS for the 2,400 head-office and regional staff. Clean the data, prove the model, build credibility with the Board. Extend to stores in Year 2, and to the gig network “when the regulatory position clarifies.”

It is cheap. It is low-risk. It will succeed. It is exactly what a competent consultant would recommend.

Take each of your four anchors in turn. Then decide: endorse, amend, or reject — and be ready to defend it.

0:40 – 0:45 · DEBRIEF, ONE ANCHOR PER POD

What the plan does to each anchor

GL-1001

Lakshmi Naidu

Nothing, for a year. The Year-2 extension inherits a system designed around laptop, English and company email.

Sequencing is architecture. What you defer, you constrain.

GL-1002

Arjun Joshi

Explicitly excluded pending regulatory clarity — which may arrive as an obligation, not a signal.

“When it clarifies” is a decision, not a deferral.

GL-1003

Sunil Mehta

In scope, with no role, no reskilling path, no reason to cooperate — and he holds the process knowledge.

Change Capital is spent or earned here.

GL-1004

Shreya Iyer

Best served. Genuinely — which is why the plan is seductive.

Serving the ready is not wrong. Serving only the ready is.

THE VERDICT TO LAND

The corporate-first plan is not obviously bad.

It is cheap, low-risk, will succeed on its own terms, and versions of it are implemented across Indian industry every year.

What it is, is a plan whose success metric has been quietly redefined to exclude three-quarters of the workforce.

The honest position: adopt corporate-first sequencing only if you can state, in the same breath, what you are doing in Year 1 to keep the Year-2 frontline extension architecturally possible and politically funded.

0:45 – 1:00

R1 opens. What happens next.

Agree now, on the platform

- Who drafts which section — the five roles map onto the four decisions plus the anchor check
- Your maturity model, provisionally, in writing
- Two workbook analyses and their cost in Analyst Days
- Your meeting point before Week 3, L1

The Week 3 cold-calls are on your pod's actual R1 decision — and any member may be called, not the Pod Lead.

R1 opens	Now — end of Week 2, L3
R1 closes	End of Week 3 · locks irreversibly
Pod charter	End of Week 2
R1 cold-calls	Week 3, L1 · first eight minutes
Cross-pod debrief	Week 3, L3

Week 3 pre-reading: Caldwell (2022) data-literacy and BI chapters · Manuti & de Palma critical chapter · DPDP orientation note

You now hold a diagnosis you will live with for eleven weeks.

In Week 4 you will architect a stack on top of it.

In Week 6 the adoption data will tell you whether the architecture was right.

In Week 8 the fairness audit will tell you what your diagnosis failed to look at.

Everything downstream inherits this week.

Diagnose honestly.

WEEK 2 · SESSION L1 · UNIT I · THEORY

Diagnosing digital HR maturity

Six frameworks: Kotter on urgency · Kavanagh on systems maturity · Bersin on analytics maturity · Westerman's digital-masters grid · the three-level digital divide · the Indian compliance frame

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SESSION MAP

The hour ahead

60 min

0:00

What a stage model claims

The family of theory most of today belongs to

0:12

Kotter

Eight steps, and why the first one decides the rest

0:20

Two ladders and a grid

Kavanagh, Bersin, the critique, then Westerman

0:38

The digital divide

Three levels: Access, Skills, Use

0:48

The compliance frame

DPDP Act 2023 and the Code on Social Security 2020

Leave with this: for each of the six frameworks, what it claims, what evidence would confirm it, and one thing it cannot tell you.

OPENING SOCRATIC DIALOGUE

What is a framework actually *for*?

It selects

Out of several hundred things you could measure about an organization, it tells you which twelve matter and in what order to look at them.

It interprets

It converts a value into a meaning. “Ten per cent automated” is a number; “a Level 1 process being asked a Level 4 question” is a diagnosis.

It predicts — and can be wrong

A framework that cannot fail is not a theory. Each of today's five makes a claim that evidence could contradict. Hold on to that as we go.

Question to hold open

Descriptive or prescriptive? A maturity model tells you where you are. Does it also tell you where you ought to go — and who decided that Level 5 is better than Level 3 for *your* organization?

THE MAP

Six frameworks, four families

PROCESS MODEL OF CHANGE

Kotter (1996)

What has to be true before an organization can change at all — and why most attempts fail at the first step.

MATURITY & POSITIONING

Kavanagh · Bersin · Westerman

How capable is this organization — in its systems, in its analytics, and in its ability to direct what it buys?

STRATIFICATION MODEL

The three-level digital divide

Who is excluded from a digital system, at which layer, and therefore by which remedy? It partitions people; it does not rank firms.

LEGAL FRAME

DPDP 2023 · SS2020

What is the organization obliged to do, regardless of whether it judges the obligation worthwhile?

Three of the six answer **how capable**, one answers **how ready**, one answers **who is left out**, and one answers **what is compulsory**. Confusing the four is the commonest error in this unit.

TWO ROUNDS ARE IN. NOW WE NAME WHAT YOU DID.

You have already used all six frameworks

ROUND 1 — THE DIAGNOSIS

The option you played	The framework underneath it
1A Foundations First	Kavanagh — systems maturity
1B Analytics-First Leap	Bersin — analytics tiers
1C Mobile-First Equity Lens	The three-level digital divide
1D Regulatory Alignment	DPDP 2023 and the Code on Social Security
Every pod — the CFO challenge	Kotter — step 1, urgency

ROUND 2 — THE ARCHITECTURE

Every pod chose 2A, Modular HRMS Core. Every pod named the same System of Record. Zero variance on the headline choice.

Underneath it: between **one and seven** systems retired, and benefit–cost ratios from **0.375 to 1.07** on an identical cost.

The framework underneath 2A was Kavanagh again — Record, then Engagement, then Insight. Two pods named it. Two reached it without a citation.

Three pods diagnosed a **digital divide**. One diagnosed an **analytics deficit**. All four built the same architecture. **So was the diagnosis doing any work?** Hold that question through the hour.

THE FAMILY OF THEORY

What a stage model claims

Maturity models descend from the stage theories of the 1970s and 1980s — Nolan on data processing, later the Capability Maturity Model in software. They all make the same four assertions.

Ordered

The stages form a sequence, not a menu. Level 3 genuinely contains more capability than Level 2, in a defined sense.

Cumulative

Each stage rests on the one below. The lower capability does not disappear when you climb; it becomes the foundation.

Non-skippable

The strongest and most testable claim. Buying a stage-4 capability without stage-3 foundations yields stage-2 outcomes at stage-4 cost.

Diagnosable

Each stage has observable indicators, so an outsider can place an organization without being told where it thinks it is.

Hold the non-skippability claim up to the light. It is what makes the model useful — and it is empirically contestable. Mobile payments in India reached households that never held a bank passbook. **Some ladders can be jumped; the interesting question is which rungs are genuinely load-bearing.**

KOTTER (1995, 1996)

Eight steps, derived from failures

Kotter studied more than a hundred corporate transformations and found that most failed. The eight steps are not a recipe he invented; they are the eight places at which the failures clustered, written in the positive.

CREATE THE CLIMATE

1 Establish urgency
2 Form a guiding coalition
3 Develop a vision and strategy

Nothing here is visible to the wider organization. Skipped most often, because it produces no artefact.

ENGAGE THE ORGANIZATION

4 Communicate the vision
5 Empower broad-based action
6 Generate short-term wins

The rollout. Round 3 of the simulation lives here. Removing obstacles matters more than repeating the message.

SUSTAIN THE CHANGE

7 Consolidate gains
8 Anchor in the culture

Declaring victory at step 6 is Kotter's classic error. Change that is not anchored reverts when its sponsor leaves.

STEP 1 IN DEPTH

Urgency is a condition, not a speech

Complacency arrives free

Kotter's sources of complacency: no visible crisis, comfortable internal metrics, narrow functional goals, low-candour feedback, and leaders who confuse activity with progress. None of these has to be manufactured.

The threshold claim

Kotter's estimate is that roughly **75% of an organization's management** must honestly believe the status quo is more dangerous than the change. Below that, effort dissipates into working groups.

True against false urgency

False urgency is anxious motion — more meetings, more dashboards, more reorganization. True urgency is determination focused on one gap that has been made visible and undeniable.

The mechanism worth naming

Urgency is produced by **evidence**, not by exhortation. A leader who declares that the organization must transform generates compliance. A leader who puts three measured, current, deteriorating numbers on a single page generates urgency.

KAVANAGH — HR TECHNOLOGY MATURITY

The systems ladder: five stages

1

Paper & spreadsheet

Records on paper or in local files. Reporting is manual assembly. Nobody owns the data.

2

Point solutions

A tool per problem. Each works; none speaks to the others. Data is re-keyed between them.

3

Integrated

One system of record, live feeds to the rest. An employee exists once. Reporting becomes routine.

4

Optimized

Processes redesigned around the data, not around the old paper form. Self-service is the norm.

5

Intelligent

Systems predict and recommend. HR decides with models, and answers for them.

One ladder, three vocabularies

Your Week 1 note calls these Nascent, Emerging, Digitized, Defined, Advanced, after Kane and Deloitte. The HRIS literature calls them the Kavanagh maturity stages. Practitioner audits call them Paper, Point-solution, Integrated, Optimized. **Same ladder. Know all three, and say which one you are using.**

WHERE THE LADDER ACTUALLY BREAKS

Two gaps, and neither is a software problem

LEVEL 2 → 3

The integration gap

Crossing it requires agreeing a single definition of an employee across functions that have each had their own. The obstacle is political, not technical — somebody's version of the truth has to lose.

LEVEL 3 → 4

The capability gap

Crossing it requires people who can redesign a process, not merely operate one. Organizations buy the software and discover the constraint was the skill profile of the HR function itself.

WORKED ILLUSTRATION

Maturity is a profile, not a score

In the GreenLeaf workbook, payroll sits at Level 4 while people analytics runs at 10% automation and workforce planning at 8%. A single organizational number would have concealed that. **The diagnosis lives in the spread between the strongest process and the weakest.**

BERSIN — ANALYTICS MATURITY

The analytics ladder: four questions

Tier	The question it answers	What must be true before it works
1 Reactive reporting	What happened?	Headcount that agrees with itself. One definition of “employee”.
2 Proactive reporting	What is happening, and where?	Scheduled, segmented, trusted reporting that refreshes without a person assembling it.
3 Strategic analytics	Why is it happening?	Joins across systems — performance to engagement to exit — and someone who can reason about cause.
4 Predictive analytics	What will happen, and what should we do?	History deep enough to learn from, an owner for the model, and a governance answer for when it is wrong.

Each rung is a **data-quality contract**, not a software purchase. Tier-4 software installed on tier-1 data does not fail visibly — it produces output that is fast, confident and wrong, which is considerably worse than no output at all.

PUTTING THE TWO LADDERS SIDE BY SIDE

The plumbing and the thinking can diverge

	Kavanagh — systems maturity	Bersin — analytics maturity
Unit of analysis	The HR process and the system that runs it	The question the organization can answer with its data
Constraint it exposes	Integration and process design	Data quality, joins and analytical skill
Fails when	A capability is bought above the foundation that supports it	A question is asked that the data cannot honestly answer
Blind to	Whether anyone uses the integrated system	Whether the answer is acted on, or is politically survivable

Illustration: an organization can hold a mature payroll system and a predictive attrition model at the same time as an analytics platform that 38 of its 90 licensed users have ever opened. High on one ladder, near the floor on the other. **Two ladders, because one number would hide that.**

THE CRITIQUE

What maturity models cannot tell you

They assume one path

Every organization is held to climb the same ladder in the same order. Sector, size and regulatory setting may make a different route rational.

They describe, they do not explain

A model can place you at Level 2. It cannot say why you are there, nor whether climbing will improve any outcome you care about.

Higher is assumed to be better

The normative claim is rarely defended. Level 5 costs money and governance capacity; for some organizations Level 3 is the efficient stopping point.

Most are vendor-authored

Many maturity models are published by firms that sell the remedy for immaturity. That does not make them false. It does make the destination worth questioning.

Use them as they are good for: **a shared vocabulary and a sequencing discipline.** They tell you what must exist before something else can work. They do not tell you what your organization should want.

WESTERMAN, BONNET & McAFEE (2014)

Two axes instead of one ladder

The *Leading Digital* study separates what a firm can build from whether it can govern what it builds. **Digital capability** on one axis; **leadership capability** — vision, governance, engagement — on the other. Four positions follow.

HIGH DIGITAL · LOW LEADERSHIP

Fashionistas

Many bright tools, bought locally, none coordinated. Real spending, little value. Investment outruns governance.

HIGH DIGITAL · HIGH LEADERSHIP

Digirati

Investment and direction move together. The study finds this group outperforms its industry peers on the financial measures examined.

LOW DIGITAL · LOW LEADERSHIP

Beginners

Little digital activity and little appetite for it. Sometimes ignorance, sometimes a considered judgment that the returns are not there yet.

LOW DIGITAL · HIGH LEADERSHIP

Conservatives

Cautious, coordinated, under-invested. Slow to move, but what they do build tends to work and to be used.

The claim that makes the second axis matter

A Conservative can end up ahead of a Fashionista. **Spending on technology without the capacity to direct it is not partial progress — it can be worse than restraint**, because it hardens fragmentation that must later be undone.

WHERE THE MODEL COMES FROM

The divide was redefined twice

1990s · FIRST LEVEL

A question of connection

The divide was framed as a binary: who has a computer and a line, and who does not. Policy followed — build infrastructure, distribute devices.

2000s · SECOND LEVEL

A question of capability

Access spread, and inequality did not close. Van Dijk and others showed that skills and usage patterns diverged sharply among people who were all, formally, connected.

2010s · THIRD LEVEL

A question of benefit

Helsper and others moved the question again: who actually obtains a tangible outcome — the job, the entitlement, the refund — from being online? Equal use, unequal return.

Why the history matters

Each redefinition happened because the previous remedy was applied, worked, and left the inequality standing. **The layers are not three descriptions of one problem. They are three problems, discovered in sequence.**

THE MODEL APPLIED TO AN ORGANIZATION

Three layers, three different remedies

LAYER 1

Access

Can the person physically reach the system? Device, connectivity, bandwidth, cost of data, language of the interface, whether the handset is shared.

Remedy: design and procurement. No amount of training fixes a feature phone.

LAYER 2

Skills

Given access, can they operate it confidently — including without fear of making a visible mistake in a system their supervisor can see?

Remedy: capability building. In the language people actually use, at a time they are paid for.

LAYER 3

Use

Given access and skill, do they obtain the benefit — or log in once, fail to find what they needed, and go back to asking the supervisor?

Remedy: redesign and incentive. Observable only in behavior, never in attributes.

The diagnostic error to avoid

A remedy aimed at the wrong layer is worse than none, because it spends the budget and produces a report saying the problem was addressed. Train a feature-phone user and the completion metric moves while nothing changes.

THE INDIAN LAYER

Why the divide runs *inside* the firm here

Mobile-first, not mobile-only by choice
For a large part of the Indian workforce the smartphone is the first and only computing device ever owned. Interfaces designed for a desk assume a device history that does not exist.

Language is an access question, not a courtesy
An English-only interface converts a literate worker into an excluded one. Localization belongs at layer 1, with procurement, not at layer 2 with training.

Public rails change what is possible
India Stack, DigiLocker and Aadhaar-based verification make onboarding flows feasible here that global vendors never built — and raise consent questions of their own.

The structural point

In a multi-site Indian firm the corporate office is moderately digitized and the store floor and warehouse are largely manual. **The divide is not between the firm and the outside world. It is between two halves of the same payroll.**

Which is why an organizational average is the wrong statistic, and a distribution by location tier and device is the right one.

THE COMPLIANCE FRAME, PART ONE

The DPDP Act 2023, read as a design constraint

The employee is a Data Principal
Employment does not extinguish a person's rights over data about them. The employer is the Data Fiduciary and answers for every processor and vendor it engages.

Notice, purpose limitation, minimization
Data collected for one stated purpose cannot quietly become a feature in another system. Collect what the purpose requires; retain it only while that purpose lives.

Rights the software must be able to execute
Access, correction, erasure and grievance redressal. If a correction in the system of record cannot propagate downstream, the right exists on paper only.

Why this is an architecture question

Purpose limitation and the correction right are **not policy commitments. They are system requirements** — they determine what the data model must record and what the integrations must be able to do.

A privacy obligation discovered after the architecture is fixed costs several times what the same obligation costs when it is designed in.

THE COMPLIANCE FRAME, PART TWO

The Code on Social Security, 2020

The first Indian statute to give **gig worker** and **platform worker** legal definitions, and to place welfare obligations on the aggregator — without converting those workers into employees.

A third status

Indian labor law had recognized employees and independent contractors. Platform work fell between them. The Code creates a category that carries entitlements without carrying employment.

Aggregator contribution

1–2% of annual turnover, capped at 5% of the amounts paid to gig and platform workers, into a social security fund for their benefit.

Registration is the gateway

Benefits follow registration. An eligible but unregistered worker is a compliance failure attributable to the aggregator, not to the worker.

The question the Code does not answer

Eligibility turns on hours and earnings. On a platform, hours and earnings are set by an allocation algorithm. **So an opaque algorithm decides who becomes eligible for a statutory benefit** — and the Code says nothing about the algorithm.

THE POINT OF THE WHOLE HOUR

Every framework today answers the same underlying question: *what has to be true first?*

Kotter: belief must precede action. Kavanagh: the foundation must precede the capability. Bersin: the data must precede the question. Westerman: the capacity to direct must accompany the capacity to buy. The divide model: access precedes skill, and skill precedes benefit. The statutes: the obligation precedes the business case entirely.

Three things to carry out of this room

1

A maturity model is a sequencing discipline, not a destination.

It tells you what must exist before the next thing can work. It does not tell you what your organization should want, and most were written by firms that sell the remedy.

2

One number hides more than it shows.

Kavanagh measures the plumbing, Bersin the thinking, Westerman the capacity to direct either. A firm can be strong on one and near the floor on another — and spending without direction can be worse than restraint.

3

Exclusion and obligation are diagnoses, not afterwords.

Access, Skills and Use are three problems with three remedies, and an average conceals all of them. The DPDP Act and the Code on Social Security set requirements no business case can override.

READING AND BRIDGE

Where to read each of these properly

In the shared readings folder

All four are now in **Unit-1**. Core: Westerman, Bonnet & McAfee, *Leading Digital*, Ch. 1–2 · Kavanagh & Johnson, *HRIS*, maturity chapter. Supplementary: the DPDP Act 2023 · Fitz-enz & Mattox on predictive analytics.

In your own teaching notes

Week 1, Section 1.1 — the Westerman grid and its four archetypes · Week 1, Section 1.3 — the five-level ladder with diagnostic indicators · Week 2, Section 2.1 — the analytics dimension

Not yet filed — this session is your source

Kotter, *Leading Change* · the three-level digital divide (van Dijk, Helsper) · the Code on Social Security, 2020. A primer covering all three is being prepared.

Coming next

L2 — applying the diagnosis: how a pattern becomes a claim about cause, and how to decide which constraint binds first.

Unit II — the architecture a diagnosis leads to: HRIS, ATS, LMS and the integration layer.

Lewin and the full eight-step treatment of Kotter come in the change-management session; the fairness critique of predictive models comes in Unit III.

WEEK 2 · SESSION L2 · UNIT I · METHOD

Applying the diagnosis

From framework to finding to cause · what counts as evidence · and how to decide which constraint binds first

R K Singh · Senior Professor, Department of Commerce
Delhi School of Economics, University of Delhi
DSEH001 · Digital Transformation in Human Resource Systems · M.Com. PGCF 2025

SESSION MAP

The hour ahead

60 min

0:00

From pattern to cause

What a diagnosis is, and the differential method

0:16

What counts as evidence

Four kinds, triangulation, and the contradiction

0:30

Which constraint binds

Binding and slack, four tests, sequencing

0:48

Error and craft

How diagnoses go wrong, and how to write one

0:57

Limits and close

What a correct diagnosis still cannot do

Leave with this: the ability to state a cause, name the evidence that discriminated in its favor, and say what would prove you wrong.

OPENING SOCRATIC DIALOGUE

Three findings. All true. Which one do you act on?

FINDING A

Workforce planning is 8% automated. People analytics is 10%. The two things the Board is asking for are the two the function cannot do.

FINDING B

Employees whose only device is a feature phone cannot reach the self-service app or the learning platform at all.

FINDING C

Five of the sixteen systems hold employee data outside India, and nobody has documented why.

The question to sit with

Your Round 1 rationale picked one, and your Round 2 architecture spent ₹120L acting on it. **What decided the order?** Not severity — all three are serious. Not cost — you did not know it yet. Something else was doing the work, and today we name it.

THE ANATOMY OF A DIAGNOSIS

Four things that are routinely confused

Symptom

What the organization complains of. “Our HR reporting is slow.” Reported, not observed — and the complaint may not be about the thing that is wrong.

Sign

What you can observe independently of anyone's account. Three systems return three headcounts. A sign does not require the organization to agree with you.

Pattern

Signs that occur together in a recognizable configuration. This is exactly what a framework supplies — “this is Level 2” names a pattern.

Cause

The mechanism that generates the pattern. Not “the systems are fragmented” but *why nobody stopped them fragmenting*.

Where last week ended, and this week begins

A framework takes you as far as **pattern**. It stops there by design. **A diagnosis is a claim about cause** — and a claim needs evidence that could have gone the other way.

THE METHOD

Eliminate rather than confirm

The instinct is to find a plausible cause and look for support. The discipline is the reverse: **list the causes that could have produced these signs, then look for the evidence that tells them apart.**

Step	What you do	Why it matters
1	**Fix the signs** you are explaining	A moving target can be explained by anything. Write the observations down before you theorize.
2	**List the candidate causes** — at least three	Two candidates is usually one candidate and a straw man. The third is where the honesty lives.
3	**Find the discriminating evidence**	The test worth running is the one whose result differs depending on which cause is true.
4	**State what survived, and what would kill it**	A diagnosis you cannot falsify is an opinion wearing a framework's clothes.

The discriminating test, in one line: if the evidence you are about to gather would look the same whichever cause is true, it is not worth gathering. Most analysis fails here, not at the conclusion.

WHAT COUNTS AS EVIDENCE

Four kinds, each strong for something different

Kind	Strong evidence about	Weak or silent about
System trace logins, transactions, tickets	What people actually did. Nobody performed it for your benefit.	Why they did it, and everyone the system never touched.
Administrative record HR fields, licenses, contracts	What the organization has committed to and paid for.	Reality. It records what was entered, not what is true.
Self-report surveys, interviews	Perception, intention, and what people are willing to say.	Behavior. People misremember, and they answer the question they think you asked.
Assertion “the reason is…”	Generating candidate causes. Insiders know where the bodies are.	Settling between them. An assertion is a hypothesis, never a finding.

This is not a ranking from best to worst. **It is a map of what each kind can and cannot carry.** Using self-report to establish behavior, or a system trace to establish motive, is the commonest evidential error in applied HR work.

TRIANGULATION

Three sources agreeing proves less than you think

Triangulation is the practice of establishing a finding from more than one kind of evidence. Its power comes entirely from **independence** — and independence is easy to lose without noticing.

False triangulation

The HR dashboard, the monthly report and the Board pack all show the same headcount. Three sources, one origin — they are three views of a single extract. If it is wrong, all three are wrong together.

Real triangulation

The system trace says few people complete a task. The helpdesk log says many people ask how. A supervisor says they do it on people's behalf. Three origins, three mechanisms, one conclusion.

The test to apply before you rely on it

Could these sources fail together? If a single upstream error, a single definition, or a single person could make all of them wrong at once, you have one source with three names.

THE MOST USEFUL THING YOU WILL FIND

A contradiction is data, not a nuisance

When two credible sources disagree, something structural is producing the disagreement. The disagreement is usually more informative than either source alone.

Definitional

Two true numbers counting different populations. Points at an absent shared definition.

Temporal

Two true numbers from different moments. Points at reconciliation that happens manually, or not at all.

Behavioral

What people say they do against what the trace shows. Points at a workaround somebody built.

Evaluative

Universal use alongside universal dislike. Points at something with no alternative.

WORKED ILLUSTRATION

Adoption 1.00, satisfaction 1.5

In the GreenLeaf inventory, spreadsheet trackers are used by everyone and rated lowest of any system. The contradiction is the finding: **spreadsheets are not a preference, they are a symptom.** Remove them without replacing the function they serve and they reappear under new file names.

THIS MOVE WAS MADE IN THIS ROOM

One pod read the spreadsheet as a symptom

SYS-16 — SPREADSHEET TRACKERS

1.00
adoption — the highest in the estate

1.5
satisfaction — the lowest in the estate

> *“SYS-16 is the one with highest adoption rate of 1 but lowest satisfaction score. It can be because employees are forced to use manual excel workarounds to fill the functional gaps between disconnected softwares.”*
>
> **A pod’s Round 2 rationale — the only pod to resolve it**

Ignore it
A spreadsheet tracker looks like furniture in a sixteen-system inventory.

Reconcile it away
Treat the satisfaction score as noise, or as people grumbling about a tool that works.

Explain it
Ask what state of the world produces *both* numbers at once. Only this one is a diagnosis.

The causal arrow reverses. The spreadsheet is not a cause of fragmentation; it is evidence of it. Ban it and the bridge goes while the gap stays — so it returns under new file names on a personal drive, where you can no longer see it.

Quoted verbatim from a submitted Round 2 rationale · 9

THE TURN OF THE HOUR

A diagnosis is not a list of what is wrong.
It is a claim about what, if fixed, changes the rest.

Everything so far has been about establishing what is true. Everything from here is about a different question, and a harder one: of the true things, which one is holding the others in place?

BINDING AND SLACK

You already know this idea from optimization

A binding constraint

Holds the solution back. Relax it by one unit and the objective improves. In a linear program it is the constraint with a non-zero shadow price.

A slack constraint

Real, correctly stated, and not currently limiting anything. Relax it and nothing moves. Effort spent here is genuinely wasted, however serious the constraint sounds.

Goldratt made the same point about factories: the throughput of a system is set by its bottleneck. **An hour saved at a non-bottleneck is not an hour saved — it is an hour of extra inventory.** Improvement away from the constraint converts into cost, not output.

The translation into HR

Fixing a problem that is not binding produces activity, cost, and a report saying the problem was addressed — and no change in any outcome anyone cares about. **It is indistinguishable from progress until the following year.**

FOUR TESTS

Is this constraint actually binding?

TEST 1

Relaxation

If this were removed tomorrow at no cost, name the specific thing downstream that would change. If you cannot name one, it is slack.

TEST 2

Precedence

Does anything else wait on this? Last week's six frameworks each supply a precedence rule — this is where you cash them in.

TEST 3

Recurrence

Has it already defeated one attempt? A constraint that has absorbed a previous remedy is usually real, and usually deeper than the remedy assumed.

TEST 4

Ownership

Is there someone who could actually relax it? A constraint nobody can move is a *condition* — plan around it, do not target it.

Tests 1 and 2 establish that it matters. Tests 3 and 4 establish that it is **tractable**. A diagnosis that passes the first two and fails the fourth is correct and useless — and correct-and-useless is the most common way good analysis dies.

CASHING IN LAST WEEK'S FRAMEWORKS

Six precedence rules make a partial order

Framework	The rule it contributes	What it forbids
Kotter	Readiness before rollout	Launching into an organization that does not believe there is a problem
Kavanagh	Foundation before capability	Buying a stage above the one you occupy
Bersin	Data before question	Asking a question the records cannot honestly answer
Westerman	Direction alongside investment	Spending faster than you can govern
Digital divide	Access, then skills, then use	Training people the system cannot reach
DPDP & SS2020	Not a step in the sequence at all	Treating a legal obligation as one option among others

Obligations are boundaries, not steps. They do not compete for a place in the order — they define the region inside which any order is permissible. A plan that sequences compliance after convenience has misunderstood what kind of thing it is.

WHEN THE ORDER IS STILL OPEN

Two constraints both bind. Now what?

If one precedes the other

Sequence them, and say why. The precedence rules settle it, and the reasoning belongs in the plan rather than in your head.

If they are independent

Run them in parallel — but only if they draw on different owners, different budgets and different attention. Two projects sharing one overstretched manager are not parallel.

If neither, use reversibility

Do the cheap-to-undo one first and learn from it. Defer the one that is expensive or humiliating to reverse until the uncertainty has come down.

The tie-breaker nobody teaches

Prefer the move that **makes the next diagnosis easier**. Fixing the record first does not only fix the record — it makes every subsequent question answerable. Some repairs pay twice.

HOW DIAGNOSES GO WRONG

Four failures, all of them comfortable

Premature closure

Stopping at the first cause that fits. The evidence gathered afterward is selected to confirm, and it always succeeds.

Solution-first

The remedy is already chosen — a product, a vendor, a restructure — and the diagnosis is reverse-engineered to require it.

The average

A mean reported over a population that has two distinct halves. The number is arithmetically correct and describes nobody.

Infinite regress

Asking why five times always arrives at leadership or culture. True, unfalsifiable, and unactionable.

Where to stop asking why

At the **last cause someone in the room can act on**. Going one step further feels more rigorous and delivers less: “the culture is not data-driven” is a sentence no budget can be written against.

THE WHOLE METHOD, ON ONE CASE

A worked differential

THE SIGNS

Sixteen systems in the inventory, several standing alone. Two systems of record running in parallel. Payroll mature; workforce planning at 8% automation. A live flight-risk model scoring every employee. Several processes with no named owner.

THREE CANDIDATE CAUSES

A Under-investment in technology. **B** No single record and no process ownership. **C** A skills deficit in the HR function.

WHAT DISCRIMINATES

If **A** were binding we would expect few systems. There are sixteen, and a fresh one went live last year. If **C** were binding we would expect even simple systems to fail. Payroll runs at the highest maturity in the estate and the highest satisfaction.

WHAT SURVIVES

B. The firm can buy and can operate. What is absent is one agreed record and a named owner with authority to impose it. That is why buying more has not helped.

What would falsify it: find a process that has one owner, one clean record, and still fails. If several exist, cause B is not carrying the weight this diagnosis puts on it.

THE CRAFT

Six moves of a defensible diagnosis

1 The observation — stated with its source, so a reader can go and look.

2 The pattern — and the framework that names it, cited as the course names it.

3 The candidates — the causes you considered, including the ones you rejected.

4 The discrimination — the evidence that separated them, and why it separates.

5 The claim — the surviving cause, with the consequence that follows for sequencing.

6 The falsifier — what you would accept as proof that you are wrong.

The one-sentence form

"Because *[observation, sourced]*, which is a case of *[pattern]*, and because *[discriminating evidence]* rules out *[rejected cause]*, the binding constraint is *[cause]* — so *[what must happen first]*."

If it will not fit this shape, one of the six moves is missing. Usually it is the third.

THE HONEST BOUNDARY

What a correct diagnosis still cannot do

Tell you it is affordable

Identifying the binding constraint says nothing about whether relaxing it is worth what it costs. That is a separate argument.

Predict resistance

The correct first move is often the one that takes authority away from somebody. Diagnosis is silent about who will fight it.

Stay true

It is a snapshot. Constraints move — and relaxing one promotes whatever was second into being the binding one.

See what it cannot measure

The analysis covers the system that produces data. Anyone the systems never touch is invisible to it by construction.

And the plainest limit of all: **a correct diagnosis acted on badly still fails.** Knowing what to do first is necessary and nowhere near sufficient — which is why change management is a separate discipline and not an afterthought.

Three things to carry out of this room

1

A framework names a pattern. Only you can name a cause.

List three candidates, find the evidence that tells them apart, and say what would prove you wrong. Elimination, not confirmation.

2

Not everything wrong is binding.

The binding constraint is the one whose relaxation changes something downstream you can name. Work away from it and you buy activity, not outcomes.

3

Contradictions are the best evidence you will find.

Explain a disagreement before you reconcile it, and check that your independent sources could not fail together.

READING AND BRIDGE

Where to take this next

Revisit from L1

The six precedence rules, now used as sequencing constraints rather than as descriptions. Unit-1 Core holds Westerman and Kavanagh; Unit-1 Supplementary holds your Week 1 note, the DPDP Act and Fitz-enz & Mattox.

Not in the folder — this session is your source

Goldratt on the theory of constraints · Denzin on triangulation · the clinical literature on premature closure and diagnostic error. Read the slide notes; a short primer will follow.

Practice before the next session

Reopen your Round 1 and Round 2 rationales together. Rewrite the central claim of each in the six-move form — including the candidates you did not consider at the time, and the evidence that would prove you wrong.

Coming next

Unit II — the architecture a diagnosis leads to: the HRIS as system of record, the ATS, the LMS, and the integration layer that decides whether any of them speak.

Lewin and the full eight steps of Kotter come in the change-management session. The fairness critique of predictive models comes in Unit III.